18. Seek an Asymmetric Return/Risk Profile

Mai structures his trades to be *right skewed*—that is, the maximum loss is limited, but the upside is open-ended. One common way of achieving this type of return/risk profile is by being a selective buyer of options—buying options when there is a perceived greater-than-normal probability of a large price move. O'Shea is another trader who structures almost all of his trades to be right skewed. Some of the trades he uses to achieve this return/risk profile include long options, long credit default swap (CDS) protection, and long T-bill/short Eurodollar (TED) spreads—all trades in which the maximum loss is constrained. Platt achieves right-skewed asymmetry at the portfolio level through the risk control process, which strictly limits each trader's maximum loss from the starting allocation each year, but does not raise the risk cutoff level if the trader generates profits during the year. In this way, the portfolio maximum loss is tightly curtailed, but the upside potential is open-ended.

19. Beware of Trades Borne of Euphoria

Caution against placing impulsive trades influenced by being caught up in market hysteria. Excessive euphoria in the market should be seen as a cautionary flag of a potential impending reversal.

20. If You Are on the Right Side of Euphoria or Panic, Lighten Up

Parabolic price moves in either direction tend to end abruptly and sharply. If you are fortunate enough to be on the right side of a market in which the price move turns near vertical, consider scaling out of the position while the